

Before the
FEDERAL MARITIME COMMISSION

Docket No. 24-01

Visual Comfort & Co.,

v.

COSCO Shipping Lines Co. Ltd.

**COSCO SHIPPING LINES CO. LTD. ORIGINAL VERIFIED
ANSWER**

Respondent COSCO Shipping Lines Co. Ltd (“COSCO”), by and through its undersigned counsel, files this Original Verified Answer (“Answer”) to the Complaint in the above-captioned proceeding (“Complaint”) and responds as follows.

INTRODUCTION

The Complaint in this matter is passing strange. Complainant Visual Comfort & Co. (“Complainant” or “VCC”), seeks reparations from Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) relating to alleged but unspecified detention, demurrage, per diem, and storage charges, even though:

- COSCO never provided ocean transportation services to VCC.
- VCC did not have a service contract with COSCO.
- VCC did not appear as a shipper or consignee on any COSCO bill of lading.

- COSCO did not, except perhaps in rare instances, invoice charges to VCC.
- VCC did not pay any charges to COSCO (except perhaps in rare instances), but rather, repaid the “first purchasers” – e.g., truckers – which were the actual entities that paid COSCO (or yet another third party).

RESPONSE TO NUMBERED PARAGRAPHS

1. Complainant Visual Comfort & Co. (“VCC”), by its undersigned counsel, brings this Verified Amended Complaint against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”), pursuant to 46 U.S.C. Section 41301 to seek compensation for injuries to VCC caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the “Shipping Act”).

ANSWER: COSCO lacks information sufficient to admit or deny the allegations in Allegation 1 as to why VCC has filed either the Original or the Amended Complaints. COSCO denies that it violated the Shipping Act or that VCC incurred any injuries as a result of action or inaction by COSCO.

2. In the years since the COVID-19 pandemic, global ocean carriers, including COSCO unjustly and unreasonably exploited customers, vastly increasing their profitability at the expense of shippers, increasing the cost of freight and goods sold to the American public in general.

ANSWER: As a general matter, in the absence of a defined time frame, COSCO lacks information sufficient to respond to Allegation 2. COSCO lacks information sufficient to admit or deny what other carriers may have done but denies that it exploited customers or otherwise acted unjustly or unreasonably. COSCO likewise lacks information sufficient to

admit or deny whether other carriers vastly increased their profitability at the expense of shippers but denies that COSCO has done so. COSCO specifically notes that “[i]n the years since the COVID-19 pandemic,” COSCO’s rates and profitability have substantially declined. COSCO lacks information sufficient to admit or deny whether the actions of COSCO, or carriers more broadly, caused increases in the cost of freight or of goods sold to the American public.

3. During this same time ocean carriers, including COSCO, charged astronomical demurrage, detention, per diem, and yard storage charges (the “Charges”) to VCC citing inability to pick up containers at the ports, or return empty containers promptly, was significantly constrained due to circumstances outside VCC’s control, such as congestion at ports and shortage of equipment.

ANSWER: As a general matter, in the absence of a defined time frame, COSCO lacks information sufficient to respond to Allegation 3. COSCO also lacks information sufficient to admit or deny what other carriers may have charged VCC. COSCO denies that it charged “astronomical demurrage, detention, per diem, and yard storage charges” to VCC. Indeed, COSCO invoiced only a small amount of any such charges to VCC. COSCO’s practices, rates, and charges adhered strictly to its published tariff or FMC-filed service contracts, as required by the Shipping Act and FMC regulations. COSCO denies that it cited inability to pick up containers at the ports or return empty containers promptly. COSCO lacks information sufficient to admit or deny whether VCC’s ability to pick up or return containers was constrained due to circumstances outside VCC’s control.

4. The COSCO family of companies has profited greatly from the conduct alleged herein. For example, in 2021 COSCO Shipping International reported more than \$769 million in gross profit, a year over year revenue increase of 32%, and a year-on-year operating profit surge of 109%. As COSCO Shipping International pointed out in its 2021 Annual Report, the shipping market “demonstrated strong resilience” as a direct result of “persistent port congestion,” especially in the US and EU, during this 2021. See COSCO Shipping International Annual Report at 14. As predicted by COSCO, that congestion persisted into 2022. *Id.* at 42.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of Allegation 4 as it does not know what the Amended Complaint means by “[t]he COSCO family of companies.” As to what COSCO Shipping International, which is not COSCO, may have said in its 2021 Annual Report, COSCO states that such report is the best evidence of its contents.

5. COSCO’s conduct related to the receipt, handling, storage, and/or delivery of the VCC containers and property occurred on a normal and customary basis.

ANSWER: COSCO lacks information sufficient to admit or deny that its conduct related to the receipt, handling, storage, and/or delivery of VCC containers, or that it occurred on a normal or customary basis, because the term “conduct” is undefined. As stated above, COSCO had only minor dealings directly with VCC.

6. Complainant VCC is a corporation organized under the laws of Texas with its principal place of business located at 22400 Northwest Lake Drive, Houston, TX 77095. VCC can be contacted by the FMC through its Chief Operating Officer Gary Hirschel, 847-410-4514,

ghirschel@visualcomfort.com. VCC is a “shipper” pursuant to 46 U.S.C. 40102(23). Since its formation in 1987, VCC has been a leader in lighting products such as designer lighting, lamps, and ceiling fixtures.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of Allegation 6, and notes that the definition of “shipper” requires consideration of the facts and circumstances regarding specific shipments. COSCO notes that VCC was not shown as either the shipper or the consignee on any of the bills of lading pertaining to the so-called VCC containers.

7. Upon information and belief, Respondent COSCO was established in 2016, and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People’s Republic of China with its U.S. office/general agent located at 100 Lighting Way, Secaucus, NJ 07094. COSCO that offers container transportation in 105 counties and serves multiple ports in the United States. Upon information and belief COSCO is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with organization number 015614.

ANSWER: COSCO admits the allegation of Allegation 7 that it was established in 2016. COSCO admits the allegation of Allegation 7 that it is a vessel-operating ocean common carrier within the meaning of the Shipping Act and FMC regulations, and that its address and that of its U.S. general agent are correct. COSCO admits the allegation of Allegation 7 that as of the end of December, 2023, that it offered transportation of containers aboard

ocean going vessels between over 144 countries and served multiple container ports in the United States. COSCO admits the allegation of Allegation 7 that it is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. 40102(18) with FMC Organization Number 015614.

8. COSCO is a leading global container liner shipping company. Based upon shipping capacity, COSCO is believed to be the third-largest carrier in the world. COSCO is a member of the OCEAN Alliance, the second-largest global shipping alliance representing 16% of global capacity.

ANSWER: COSCO admits the allegation of Allegation 8 that it is a significant global container shipping company and that it is a member of the OCEAN Alliance, as filed with the Federal Maritime Commission as Agreement No. 012426. Because other terms are not defined and measurements vague, COSCO lacks information either to admit or to deny the other allegations of Allegation 8.

9. The Federal Maritime Commission (“FMC”) has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: COSCO admits the allegation of Allegation 9 that the FMC has jurisdiction over the Amended Complaint under the Shipping Act, but denies that the FMC has authority to adjudicate the claims of the Amended Complaint because such adjudication would be contrary to the Seventh Amendment to the United States Constitution.

10. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 CFR § 520.2.

ANSWER: COSCO admits the allegation of Allegation 10.

11. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of VCC, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: The allegations of Allegation 11 are conclusions of law, to which no answer is required. To the extent that an answer is required, COSCO denies the allegations of Allegation 11.

12. Respondent's assessment of the Charges, or a substantial majority thereof, and the alleged acts and omissions of COSCO that led to the assessment of such Charges also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

ANSWER: The allegations of Allegation 12 are conclusions of law, to which no answer is required. To the extent an answer is required, COSCO denies the allegations of Allegation 12. COSCO notes that the Amended Complaint itself admits that VCC made no effort to deal.

13. For the period of January of 2021 through December of 2022, VCC shipped thousands of unique containers using COSCO, and COSCO assessed VCC with detention, and demurrage, and storage charges on hundreds of those containers. The total demurrage, detention, per diem, and yard storage charges total more than \$1.219 million.

ANSWER: COSCO denies all of the allegations of Allegation 13. VCC did not ship thousands of unique containers using COSCO and COSCO did not assess VCC with charges on

hundreds of containers. Nor did COSCO assess charges in an amount over \$1.219 million.

14. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

ANSWER: COSCO avers that the best evidence of what Commissioner Dye said is the Final Report itself and denies any characterization by VCC of what she stated.

15. As set forth in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: COSCO avers that the best evidence of what the Interpretive Rule says is the Interpretive Rule itself and avers that the Interpretive Rule also states that another factor in determining reasonableness is whether the ocean carrier has dispute resolution policies and practices. 46 C.F.R. 545.5(d). The Amended Complaint admits that COSCO has dispute resolution policies and practices, but that VCC knowingly declined to use them. COSCO's dispute resolution policies at the time of the alleged violations reflected the "best practices" as adopted by the FMC and available on the FMC's website.

16. COSCO's assessment of the Charges, or a substantial majority thereof, and COSCO's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

ANSWER: COSCO denies that it assessed the Charges, with the possible exception of a small

part thereof and denies that the Charges were incapable of incentivizing cargo, no matter who assessed them. COSCO can neither admit nor deny the allegations of Allegation 16 to the extent that the “acts and omissions” alleged are undescribed and undefined.

17. To maximize container use and port storage space, carriers charge a daily fee to shippers who fail to pick up containers promptly or after the number of free days has expired. Similarly, an importer faces detention charges if it fails to unload a container and return the empty container to the port within the free period.

ANSWER: COSCO denies the allegations of Allegation 17 as reflecting a misunderstanding of the business. COSCO admits that common carriers regulated by the FMC do charge fees for using their containers in excess of free time but avers that Allegation 17 improperly conflates and confuses what carriers do and what marine terminal operators do and what those separate entities charge for what reason.

18. COSCO refused to act reasonably by increasing the number of free days available to VCC even though COSCO created delays beyond VCC’s control.

ANSWER: The allegations of Allegation 18 are conclusions of law, to which no answer is required. To the extent an answer is required, COSCO denies the allegations of Allegation 18. In particular, COSCO denies that it is aware of any request made by VCC to COSCO for additional free time or that COSCO had any affirmative obligation to extend free time to VCC without such a request. COSCO further denies the allegation that COSCO created delays beyond VCC’s control. COSCO also notes that, unless individually justified, extensions of free time necessarily violate the Incentive Principle, because they discourage the timely collection of inbound full containers or the return of empty containers.

19. In 2021 and 2022, the volume of shipments coming into certain ports had surged, compared

to 2020. Census Data from 2018 through 2022 indicates that volume at certain ports often dropped in the same month that volume at other ports drastically increased. Yet even though the volume increased at certain ports, COSCO refused to divert shipments to less crowded ports and also failed to extend the number of free days before it assessed the Charges.

ANSWER: COSCO denies the second sentence of Allegation 19, specifically denying that COSCO had an affirmative obligation, nevermind the ability, to divert shipments without request anywhere for such a diversion and without the consent of other shippers whose containers were aboard a particular vessel, and various regulatory authorities. COSCO denies that VCC ever requested that COSCO to divert its cargo to or from any particular U.S. destination port. COSCO also denies that it had any obligation to *sua sponte* increase free time given for demurrage or detention, that VCC ever asked it to do so, or that extending free time furthers the Incentive Principle except on a case-by-case basis depending on specific facts. COSCO lacks information sufficient to admit or deny the first sentence of Allegation 19, especially given the vague references to unspecified ports and the lack of definition of “surged” or “drastically.” COSCO further asserts that the Census Data are the best source of what is in them and that they are not the only data set.

20. The Charges assessed by COSCO and paid by Complainant were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of VCC and its agents and services providers, such as congestion at ports and shortage of equipment.

ANSWER: COSCO denies the allegations of Allegation 20. In particular, COSCO denies that it assessed the Charges to VCC or that VCC paid the Charges to COSCO, except perhaps in minor amount. COSCO likewise denies that any charges it assessed were not just and reasonable or that circumstances were outside the control of VCC, its agents, and its service

providers, which needs to be assessed on a shipment-by-shipment, charge-by-charge basis.

21. For example, by mid-2022 COSCO knew that the lack of return locations for empty containers had reached crisis level proportions at the Port Authority of NY and NJ (PANYNJ). Marine Terminals in NY & NJ did not have sufficient storage capacity to take back all of the empty containers because carriers like COSCO were not loading back the boxes in sufficient quantities. As such, the financial and operational burdens for storing these containers were unfairly and inappropriately forced upon shippers, among other parties not at fault. During this period there were daily reports from motor carriers who are unable to pick up imports or make deliveries because of an excessive number of empty containers they are being forced to hold due to no return location without any compensation from the ocean carriers.

ANSWER: It is difficult for COSCO to respond to Allegation 21, because it tries to cram together a multiplicity of allegations into one. As a general matter, COSCO denies the allegations of Allegation 21. More specifically, COSCO denies the 60-word, multi-multi-part allegations in the first sentence of Allegation 21. As to the second sentence of Allegation 21, COSCO lacks information sufficient to admit or deny the allegation as to burdens being forced on shippers and denies that COSCO forced any burdens on VCC or other shippers. As to the third sentence of Allegation 21, COSCO lacks information sufficient to admit or deny what unspecified truckers, which may or may not have dealt with COSCO, may have said, but denies that any such hearsay, is reliable, probative, or accurate.

22. The large number of empty containers tying up chassis equipment was and is directly responsible for increased dwell times on import containers, and the exorbitant Charges that followed. Appointments for empty container returns were regularly shut out for days or even weeks at a time. When return locations were offered, they were often accepted at only one location, or at an

appointment-mandatory facility that only offers a fraction of the slots needed to meet actual demand, or with restrictions such as a “double moves only” requirement.

ANSWER: It is difficult for COSCO to respond to Allegation 22, because it tries to cram together a multiplicity of allegations into one. As a general matter, COSCO denies the allegations of Allegation 22. More specifically, COSCO denies the first sentence of Allegation 22, including that empty containers tie up chassis equipment at facilities used by COSCO, that such non-existent fact caused any increase in dwell time, that COSCO imposed more than a few Charges on VCC, and that such Charges were in any way exorbitant. COSCO further denies the allegations of the second sentence of Allegation 22, with respect to facilities used by COSCO. COSCO also denies all of the several parts of the third sentence of Allegation 22.

23. Because carriers such as COSCO did not act with sufficient urgency to clear empty containers and redirect traffic to less congested ports, terminals that accepted empty containers without restrictions became flooded with truckers desperate to return the boxes, often leading to unsafe gridlock conditions, making it impossible to access the terminal. However, the PANYNJ terminals were nonetheless still designated as “open for returns” and the free time was still ticking.

ANSWER: It is difficult for COSCO to respond to Allegation 23, because it tries to cram together a multiplicity of allegations into one. As a general matter, COSCO denies the allegations of Allegation 23. More specifically, COSCO denies the first sentence of Allegation 23, including all of the allegations of the first sentence of Allegation 23. Without specification as to dates and times, COSCO cannot possibly admit or deny the allegations of the second sentence of Allegation 23.

24. Drivers who could not access the terminals to drop an empty and pick up an import had no way to prove how many times they had attempted to pick up the container unsuccessfully. At other

times, the terminal itself terminated empty container returns midday, with little to no notice, due to having reached capacity. Ultimately, despite these conditions, which were caused by ocean carriers including COSCO and beyond the shippers' control, shippers including VCC ended up paying the bill when free time expired. Although the allotment of free time was grossly insufficient to address these conditions, ocean carriers including COSCO failed to allot additional free time or prioritize the evacuation of empties.

ANSWER: It is difficult for COSCO to respond to Allegation 24, because it tries to cram together a multiplicity of allegations into one. As a general matter, COSCO denies the allegations of Allegation 24. More specifically, COSCO denies all of the allegations in the first sentence of Allegation 24. As a general matter, COSCO is aware that truckers can, and do, document their efforts to pick up or return containers. Further, COSCO denies that it is necessary for truckers to do so. Under COSCO's practices and policies, developed in accordance to the FMC's best practices, as well as the Interpretive Rule, a trucker or a consignee may obtain a waiver, credit, or refund of *per diem* for a particular day simply by providing screen shots (or other corroboration) showing that the relevant facility(ies) were not available – including by reason of closure, lack of appointments and/or dual move requirements, without even asserting that it actually tried to pick up or return the container on that day. As to the second sentence, COSCO lacks information sufficient to admit what unspecified terminals may or may not have done on unspecified dates, but states that, as a general matter, it is dubious about this assertion. As to the third sentence, COSCO denies each of the allegations set forth in that sentence, specifically denying that COSCO caused the alleged conditions, that such conditions were outside the control of shippers and that shippers wound up footing the bill. COSCO notes that it has a process for shippers seeking relief and

that, where shippers/truckers present corroboration that facilities were unavailable on any specific day for a specific shipment, COSCO waives, credits, or refunds charges for that day, as appropriate. As VCC itself admits, it never even attempted to use that FMC-recognized process, despite the FMC regulations expressly stating that the existence of such processes are a factor in determining reasonableness. As to the fourth sentence, COSCO denies each of the allegations set forth in that sentence.

25. Upon information and belief, despite conditions that made it impossible to return containers, COSCO's records still showed that a return location was available that day, and any boxes on Last Free Day became subject to Charges, despite lack of sufficient return capacity and/or restricted access to the terminal.

ANSWER: COSCO denies each and every allegation set forth in Allegation 25. COSCO reiterates that it has, and had, processes in place whereby VCC could have obtained an extension of the free time, or waiver, credit or refund of charges, simply by showing that it could not pick up or deliver containers on that day from/to the designated facility, including designated alternatives. Many shippers use this process, but for whatever reason, VCC did not.

26 In one poll of drivers at the PANYNJ in August of 2022, **100% of respondents** stated that (a) when an empty return location opened, they still could not get an appointment to return it, (b) they cannot get enough appointments at terminals that require them, and (C) they have been forced to hold empty containers because of insufficient capacity at the terminals and depots to accept them.

ANSWER. COSCO lacks sufficient information to admit or deny what some unspecified poll of unspecified drivers may have reported and asserts that the best evidence of any such poll is a written, documented report, reference to which VCC does not provide. COSCO denies that

any such hearsay is reliable, probative, accurate, or in any way relevant to this proceeding.

26. Approximately 94% of respondents stated that they had to send drivers home early because they did not have enough chassis available because they were tied up with empties, approximately 83% reported that traffic and congestion hindered their ability to return empties when a location opened for receiving, and more than 77% said that their customers had received pre diem [sic] bills for days when there were not empty return locations available, and approximately 83% stated they had been asked to provide proof of no return location when disputing bills.¹

ANSWER. COSCO lacks sufficient information to admit or deny what some unspecified poll of unspecified drivers may have reported and asserts that the best evidence of any such poll is a written, documented report. COSCO denies that any such hearsay is reliable, probative, accurate, or in any way relevant to this proceeding. COSCO further asserts that the FMC has specifically authorized ocean carriers to require corroboration of insufficient return facilities before extending free time or waiving, crediting, or refunding per diem. The assertion in footnote 1 that resorting to the COSCO complaint process is futile is simply untrue. This is corroborated by the FMC's own website, which tracks waiver of demurrage and detention charges as aggregated. As stated immediately above, the FMC has specifically authorized carriers to require corroboration and indeed, under FMC precedent, exactly the same evidence would need to be present by Complainant in this proceeding. Neither COSCO nor the FMC can rely solely on the ipse dixit of its customers and their agents. During the year at issue, COSCO, upon customer/trucker requests (with corroboration), extended free time or granted waivers, credits or refunds literally thousands of times.

27. In its annual reports COSCO openly recognized that congestion interfered with the ordinary movement of containers at ports in the U.S. such as the PANYNJ. Yet COSCO failed to

provide adequate practices and facilities to handle and store COSCO's empty containers and also failed to provide to provide [sic] adequate facilities for its customers, including VCC, to return empty containers at those ports.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of the first sentence of Allegation 27, as COSCO has no idea what annual reports, and the specific portions thereof, Complainant is referring to. COSCO admits as a general matter that during the COVID-19 pandemic that there was congestion at PANYNJ that may have interfered with the ordinary movement of some containers, but asserts that it is Complainant's burden of proving which, if any, of its containers were so affected and whether it sought any relief for those specific containers. COSCO denies any of the failures alleged in the second sentence of Allegation 27.

28. Despite knowing that there was insufficient space in certain ports, COSCO continued to accept VCC's goods for ocean common carriage and for receipt, handling, storage, and/or delivery through those ports.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of Allegation 28 as to unspecified ports. COSCO avers that VCC was equally aware of any space issues at those ports and nonetheless decided to tender cargo. Allegation 28's nonsensically implies that COSCO should have refused to accept VCC's goods for ocean common carriage when it had the capacity aboard its vessels and adequate equipment to do so.

29. COSCO failed to provide reasonable free time for VCC for containers COSCO transported into the ports during the time COSCO failed to clear its container backlog.

ANSWER: COSCO denies the allegations of Allegation 29. COSCO further states that VCC never asked for additional free time, nor asked for relief in cases, if any, where free time was insufficient for reasons outside the control of VCC/its trucker.

30. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on VCC for circumstances over which VCC and its agents and service providers had little to no control.

ANSWER: COSCO denies the allegations of Allegation 13 and reiterates that relief was available, upon request and corroboration, in any case where VCC was unable to pick up or return containers due to circumstances outside VCC's control, but VCC struthiously ignored such processes, while thousands of others obtained relief.

31. COSCO also failed to provide sufficient detail on its invoices to allow VCC to understand the reasons for the Charges and to be able to contest the Charges. Prior to the FMC's mandate to provide backup data to substantiate these Charges in the Ocean Shipping Reform Act of 2022 ("OSRA"), effective June 16, 2022, COSCO's invoices for the Charges did not include the start or end date of any free time allocated for these containers, the applicable detention or

¹ As a result, pursuing waiver or mitigation of the Charges through COSCO's Demurrage and Detention (per diem) Disputes, Mitigates and Waivers Procedure would be futile, since Respondent requires screenshots showing lack of availability for such disputes.

Demurrage rule on which the Charges were based, the rates applied, any representation that COSCO's performance did not contribute to the underlying Charge, or a statement that the Charges were consistent with the FMC rules.

ANSWER: COSCO denies the allegations of Allegation 31 and in particular denies that it sent more than a few invoices to VCC. COSCO further notes that, per the FMC, the changes in invoice requirements wrought by Charges in the Ocean Shipping Reform Act of 2022 apply only prospectively – i.e., to charges incurred (not invoices issued) after June 16, 2022.

32. If not remedied, COSCO's unlawful practices will continue to contribute to a troubling industry standard under which all global container lines can impose improper detention and demurrage charges upon shippers because of delays and conditions that are of their own doing outside of shippers' control. As respondents to the motor carrier poll at PANYNJ aptly stated:

- a. *"The [steam ship line] places the burden of proof on us well knowing that most of the info they are asking for is either nonexistent or after the fact."*
- b. *"...FMC need[s] to strongly encourage or mandate Ocean Carriers to evacuate empty containers ... immediately."*
- c. *"It's nonsense. How are they allowed to operate like this."*

ANSWER: COSCO denies the multiple assertions in the first sentence of Allegation 32 and in particular denies that it has engaged in any unlawful practices. As to the second sentence, COSCO lacks sufficient information to admit or deny what some unspecified poll of unspecified drivers may have reported, or to admit or deny whether the purported quotation is accurate and asserts that the best evidence of any such poll is a written,

documented report. COSCO denies that any such hearsay is reliable, probative, accurate, or in any way relevant to this proceeding.

33. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: COSCO repeats and realleges the answers above as if fully set forth herein.

34. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering VCC's property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: The allegations of Allegation 34 are mere conclusions of law, to which no answer is required. To the extent that an answer is required, COSCO denies the allegations of Allegation 34.

[NOTE: THERE ARE NO ALLEGATIONS IN THE COMPLAINT NUMBERED 35 through 47]

48. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: COSCO repeats and realleges the answers above as if fully set forth herein.

49. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with VCC, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: The allegations of Allegation 59 are conclusions of law, to which no answer is

required. To the extent that an answer is required, COSCO denies the allegations of Allegation 49. COSCO reiterates that it did not invoice VCC for the Charges and VCC did not pay the Charges to COSCO, except perhaps in a small amount. COSCO also denies that VCC made any attempt to deal.

50. The foregoing alleged illegal acts of Respondent have directly and proximately injured VCC by forcing VCC to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of their respective Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether.

ANSWER: COSCO denies the allegations of Allegation 50, and in particular denies that it engaged in any illegal acts or that VCC suffered any injury as a proximate result thereof.

The statement in Allegation 50 that “VCC [had] to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of their respective Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether” is an obvious untruth, and simply copied verbatim from another publicly-filed formal FMC complaint, because VCC did not have a service contract with COSCO; nor did VCC appear as the shipper or consignee on any COSCO bill of lading.

51. VCC has been, and continues to be, actually and materially injured by each Respondent’s continuous conduct in violation of the Shipping Act alleged herein.

ANSWER: COSCO denies the allegations of Allegation 51, and in particular denies that it engaged in any illegal acts or that VCC suffered any injury whatsoever, much less actual and material injury.

52. Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to VCC in an amount already believed to exceed \$1,000,000 and approach \$2,000,000, are currently accruing, and will be further demonstrated in this proceeding.

ANSWER: COSCO denies the allegations of Allegation 52, and in particular denies that it engaged in any illegal acts or that VCC suffered any injury whatsoever, much less in the amounts suggested, as a proximate result of any actions or omissions by COSCO.

AFFIRMATIVE DEFENSES

1. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
2. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
3. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41104(a)(10).
4. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by COSCO for addressing disputes about detention, demurrage, storage, and per diem charges.
5. Because COSCO maintained procedures for disputing detention, demurrage, storage, and per diem charges and Complainant willfully declined to use them, COSCO's actions are per se reasonable.
6. Any harm experienced by Complainant was as a result of its own failures or inaction.
7. Under the FMC's first purchaser rule, Complainant is not entitled to pursue reparation against COSCO, as it did not pay the challenged charges to COSCO.
8. Complainant has failed to state a claim for which relief can be granted, including for

reasons of vagueness.

9. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.

PRAYER

Respondent prays that Complainant take nothing by this proceeding, that all of Complainant's claims be dismissed with prejudice, and that Respondent be granted attorney's fees and all other relief to which it may be entitled.

REQUEST FOR AN ORAL HEARING

Respondent requests that an oral hearing in this proceeding be held in Washington, D.C.

Dated: February 20, 2024

Respectfully submitted,

By: /s/ Nicholas Webb

Counsel for Respondent
COSCO Shipping Lines Co. Ltd.

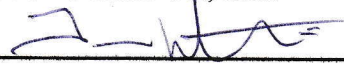
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VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct.

For COSCO SHIPPING Lines (North America) Inc. on behalf of COSCO

SHIPPING Lines Co., Ltd.:

By: 

Date: 2/20/24

Name: JAMES HOUGHTON

Title: CHIEF RISK OFFICER

Address: 100 LIGHTING WAY, SEASIDE, NJ 07094

Email: jhaughton@cosco-usa.com

CERTIFICATE OF SERVICE

I certify that on the 20th day of February, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

ATTORNEYS FOR COMPLAINANT:

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